LAWS OF NEPAL · PUBLIC FINANCIAL MANAGEMENT

Public Procurement & Fiscal Accountability

Public Procurement Act, 2063 & Financial Procedures and Fiscal Accountability Act, 2076

Government Accounting & Procurement Digest

PFM Statutes · PSC Papers II–IV · 4 Pages

PUBLIC PROCUREMENT ACT, 2063 · CORE PRINCIPLES

Transparent Bidding, e-GP & Contract Governance

Ensures openness, economy, competition, equal opportunity, and value for money across public works, goods, consultancy, and other services.

- Procurement Planning & Cost Estimate (Sections 4–6): Public entities must prepare a Master Procurement Plan and Annual Procurement Plan before inviting bids, backed by approved technical specifications and cost estimates.
- Procurement Methods (Section 11): International/National Open Bidding, Sealed Quotation, Direct Purchase (strictly within statutory thresholds), Users' Committee participation, Limited Tendering, and Buy-Back/Ration methods.
- Electronic Government Procurement (e-GP) & PPMO: Administered via the Public Procurement Monitoring Office single portal to curb cartelling, bid-rigging, and chronic contract time/cost overruns.

FISCAL ACCOUNTABILITY ACT, 2076 · ROLES & SYSTEMS

Accounting Officer vs Responsible Person

- Clear Accountability Split: The Departmental Minister/Secretary serves as the Responsible Person for policy and program oversight, while the Secretary / Office Chief acts as the Accounting Officer legally liable for budget execution, internal control, and audit settlement.
- Core Digital PFM Platforms: LMBIS (Line Ministry Budget Information System), SuTRA (Sub-national Treasury Regulatory Application), TSA (Treasury Single Account), CGAS (Computerized Government Accounting System), RMIS, and PAMS (Public Assets Management System).
- Internal Control & Internal Audit: Mandatory quarterly internal audit by the Financial Comptroller General Office (FCGO / DTCO) prior to final constitutional audit.

AUDIT ACT, 2075 & BERUJU CLEARANCE

Final Audit & Irregularity (Beruju) Settlement

- Office of the Auditor General (Article 241 & Audit Act, 2075 Sec. 8): Audits regularity, economy, efficiency, effectiveness, and propriety across Federal, Provincial, and Local governments and corporate bodies.
- Threefold Beruju Classification: 1. Recoverable amount (Asul Upar Garnuparne), 2. To be regularized with evidence/approval (Niyamit Garnuparne), and 3. Unsettled advance beyond deadline (Peshki).
- Statutory Clearance Window: Accounting Officers must respond and clear preliminary audit observations within 35 days, with parliamentary scrutiny conducted by the Public Accounts Committee (PAC).